

[« back to reports](#)



Q2 2025

PitchBook Analyst Note: VC Investment in Climate Tech

June 24, 2025

[Download report](#)

Note: This is the free edition of premium content produced by our Industry and Technology Research team. As a result, parts of this version are blurred out. The full version is available only to PitchBook clients.

VC investment in climate tech falls for the third year in a row

In 2024, VC investment in climate tech continued to decline, following a trend of steadily decreasing annual deal value since the sector's peak in 2021. Despite the overall slowdown in dealmaking, quarterly deal value held steady in Q1 2025 at \$9 billion. The quarter was marked by strong deal value for dispatchable energy sources such as nuclear and geothermal energy as well as industrial decarbonization technologies.

The impacts of tariffs and supply chain challenges remain key for investors and VC-backed companies in the climate tech space, particularly for US-based companies. In addition to deal activity, this analyst note explores how AI is reshaping climate tech—including applications for optimizing battery performance and interpreting complex datasets in order to monitor large areas of land.

Table of contents

Key takeaways	1
Vertical overview	2
Climate tech VC ecosystem market map	4



Tags:

Analyst Note

Tech

Climate Tech

To download this report,
please complete the form
below

First name

Aza

Last name

Kan

Business email

ak.somnium@gmail.c

Company (Optional)

Company

Phone (Optional)

+7 Phone

☐ I agree to receive PitchBook Data's electronic newsletters, updates, promotions and related messages regarding PitchBook Data's products.

This field is required.

You can unsubscribe at any time by clicking on the unsubscribe link at the bottom of our emails. Please refer to our [privacy policy](#) or [contact us](#) for more details.

Download report

Chrome Extension	Asset Allocation	Advisors	Advertise
CRM Integration	Benchmarking	Companies	LCD News & Research
Direct Data	Business Development	Data Operations	News Archive
Excel and Powerpoint Plugins	Deal Execution	Deals	News Team
Morningstar Institutional Equity Research	Deal Sourcing	Debt	Newsletter
PitchBook Credit	Due Diligence	Financials	Report Methodologies
PitchBook Desktop	Fundraising	Funds	Reports
PitchBook Institutional Research	Networking	Investors	Research & Analysis Team
PitchBook Mobile	Private Market Intel	Lenders	About
Product Releases	Blog	Limited Partners	Careers
	Webinars	M&A	Customer Success
	Video Library	Professionals	Partnerships
PitchBook for			Press Inquiries
Hedge Funds			How PitchBook Compares
Private Equity			Case Studies
Private Market Valuations			Customer Testimonials
Startups			PitchBook vs. Competitors
Venture Capital			Pricing
Profile Previews			What Sets Us Apart

US Headquarters

+1 (206) 623.1986
901 Fifth Avenue
Suite 1200
Seattle, WA 98164

European Headquarters

+44 (0) 20
8037.2308
1st Floor Saffron House
6-10 Kirby Street
London EC1N 8TS
United Kingdom

Asia-Pacific Headquarters

80 Raffles Place
#41-01 UOB Plaza
1
Singapore
048624

Contact Us

info@pitchbook.com
Request Research
Profile Request
Deal Submission

Follow us



© 2025 PitchBook. Win what's next. All rights reserved.

[Terms of Use](#) [Privacy Policy](#) [California Consumer: Do Not Sell My Info](#)